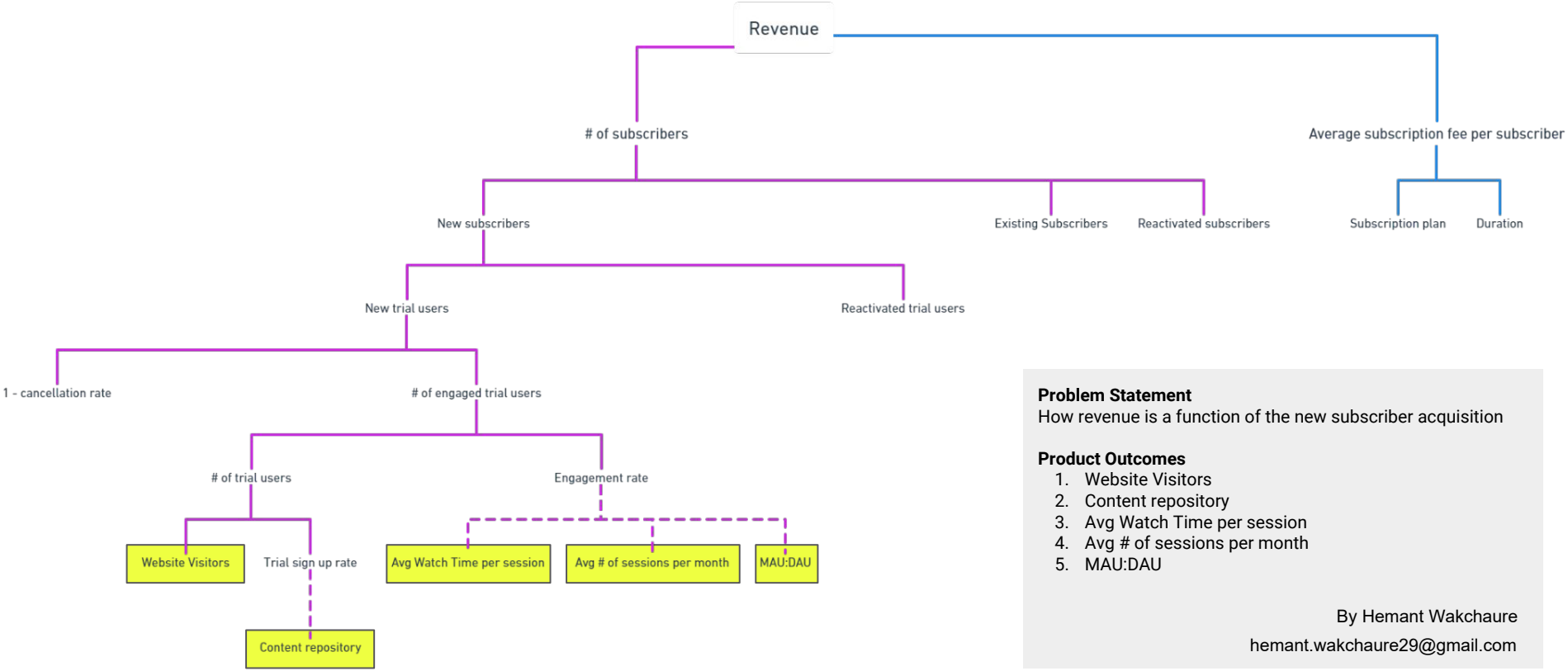
NETFLIX



Problem Statement
How revenue is a function of the new subscriber acquisition

Product Outcomes

1. Website Visitors
2. Content repository
3. Avg Watch Time per session
4. Avg # of sessions per month
5. MAU:DAU

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Objective: To understand why the new paid subscriber growth has slowed down for Netflix

Hypothesis: Lack of vernacular content on Netflix is the reason why users from Tier 2 & Tier 3 geos are choosing other platforms to watch content

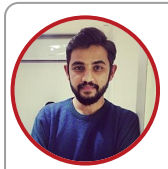
Asma

Female, 24 years, lives in Aurangabad,
Primary School Teacher, Married, Income of 30K per month, Speaks English, Hindi & Urdu

"I love discovering new movies to watch with my husband. It's a great way for us to unwind and spend time together"

User Insights:

1. Availability of the show that I want to watch is the hardest part of using these platforms
2. The last time this happened was one month back, when my husband & I wanted to watch Avatar
3. We did not find it on Netflix, or other platforms, but later we came to know it was available on Hotstar
4. Because I am not a regular watcher, I don't want to pay for content. I use my husband's Netflix account whenever I want to use it



Rohit

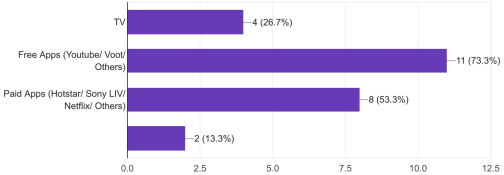
Male, 31 years, lives in Kolhapur,
Software Engineer, Married, Income of 1L per month, Speaks English, Hindi & Marathi

"I always look forward to some downtime in the evenings, and watching a good movie or TV show is the perfect way to unwind after a long day."

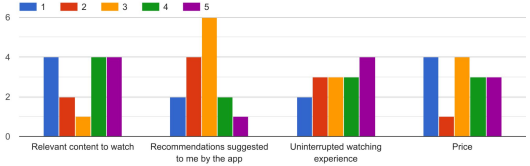
User Insights:

1. The hardest part is finding a show that I'm in the mood for and having to wait a week for next episode
2. The last time this happened was last week, when I was watching Hell's Paradise
3. Because I was in the mood to watch it, it becomes difficult to find a similar show, and having to wait another week is frustrating
4. Having content in my preferred language is somewhat important to me, but i can't bear technical issues that happen on other platforms

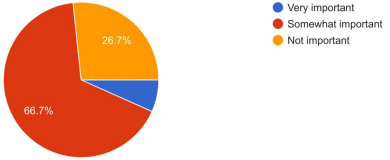
How do you watch TV shows/ movies?
15 responses



For watching a TV show/ movie, how important are the following factors to you?

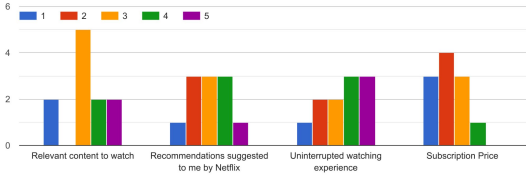


How important is it for the app you use to have content in your regional language?
15 responses

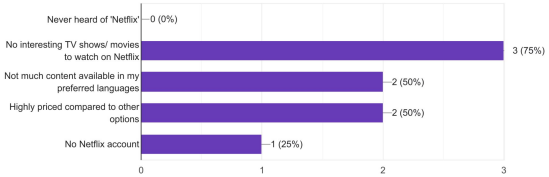


How did you watch Netflix?
11 responses

In your experience using Netflix, how would you rate the following factors?



Why haven't you ever Netflix
4 responses



Conclusion: The research invalidates the hypothesis that users have a preference for vernacular content. Rather, it seems that pricing is an important factor for the 18-24 yr old segment while choosing a platform to watch content. And for the 25-34 yr old segment, the right content seems to play a major role. These new hypotheses need to be validated by another survey.

Limitations: *Most of the users filling the form are from Aurangabad, Maharashtra*

Problem Statement: New paid subscriber growth has slowed down for Netflix

What is the true problem?

Users with Premium plans are sharing password with multiple other users

Who are the customers facing the problem?

Users in the age group 24-35 from Tier 2 & Tier 3 cities in India, who have a low propensity to pay for content

How do we know it is a real problem?

Data shows that >55% subscribers share use Netflix through a sharing account with friends/family, and more than 60% users consider price as an important factor for consuming content

What is the value generated by solving this problem?

For the target customers

Personalised recommendations resulting in a better watching experience

For the business

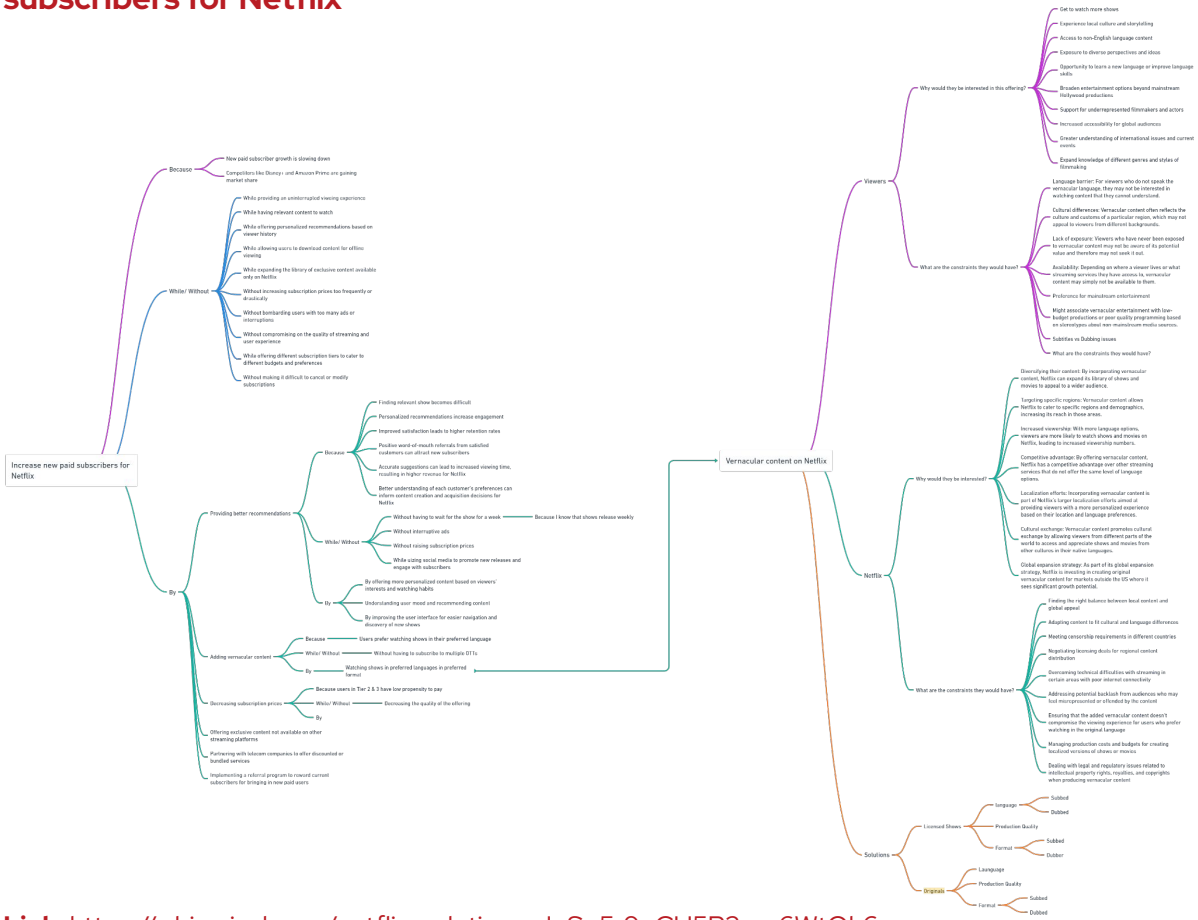
XX revenue with x% growth unlocked resulting in XX% contribution to total revenue from India

Why should we solve this problem now?

XX% of our audience comprises of this TG. This segment is growing at the rate of x% in India, with a potential to contribute X% to our subscriber growth in India

Assumptions: Numbers to be taken from internal/ external available data

Mind Map of Possible Solutions and expanding on the chosen solution concept to increase new increase new paid subscribers for Netflix



Parameters to evaluate the efficacy of the chosen solution

1. Which actors are involved
2. What are their pain points
3. What is the contribution of the impact of solving that main point to my product outcome
    a. Market potential
    b. Value for Netflix
4. How big is the impact of solving this product outcome to my business outcome

Link: https://whimsical.com/netflix-solutions-JpSp5r9uCU5P3mu6WtQk6o

Creating Netflix Originals in Vernacular languages

Why this solution?

1. **Huge market potential**:
   a. Tier II market comprises 210 million video and mobile-first users, with a disposable income of $300 million [1]
   b. Local language commitment goes beyond Hindi, which has a 500-million-strong user base [2]
2. **Opportunity**: A whopping 73 percent of India's digital users consume video content in vernacular languages, but only four percent of the content created online is in regional languages [1]
3. **High business potential for Netflix**: Roughly 90% of video consumption happens in local languages [2]

User Stories

1. I want to be able to easily find and browse through a wide selection of shows and movies in my preferred language
2. As a viewer who frequently switches between languages, I want the option to change the audio or subtitles of any show or movie to my preferred language without having to restart playback or manually search for alternative versions.
3. I want the option to see recommendations for similar movies in other languages based on what I have previously watched and enjoyed.
4. I would like suggestions and voting systems where viewers can submit their requests for additional shows/movies they would like added onto the platform.
5. I want the ability to download vernacular content for offline viewing so that I can enjoy it while on-the-go without worrying about connectivity.
6. As a viewer who watches vernacular content with others, I want the option for multiple language tracks and subtitles so that everyone can enjoy the show or movie in their preferred language.

Sources:
[1] https://yourstory.com/2021/09/brands-of-india-social-commerce-startup-trell-indian-languages-d2c-growth
[2] https://brandequity.economictimes.indiatimes.com/news/marketing/what-language-first-industry-trends-hold-for-brands-in-2022/89418809